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Subject Code: DMH 01

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GNIOT Institute of Management Studies – PGDM (Batch 2022-24)**(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2023****Compensation & Performance Management****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Write short notes on the following:****(10×3=30)**

- (a) “Managerial competency plays a vital role in Performance Management”. Justify the statement.
- (b) What are the various determinants of a good performance?
- (c) Explain flat and indexed DA.
- (d) Discuss the various tools for identifying Performance Improvement areas in the organization?
- (e) Is there any difference between perquisites and Fringe Benefits?
- (f) What are the advantages of fair compensation system?
- (g) Enlist the steps in the process of compensation management.
- (h) Explain the difference between performance appraisal & performance management.
- (i) Explain role of perks in compensation.
- (j) What are the various types of leaves an employee can avail in an organization?

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)**

Q.2. (a) What do you mean by Compensation structure? What are the components of modern compensation structure?

OR

(b) Is performance counseling the right tool to deal with employee dissatisfaction with pay & career decisions taken by the management?

Q.3. (a) What is the importance of Balanced Score Card in Performance management? Explain in detail about 360 Degree performance appraisal.

OR

(b) Enumerate the concept of Compensation as a Retention Strategy.

Q.4. (a) “Performance Management has a very strong link with other functions of HRM.” Explain with relevant examples.

OR

(b) Explain the concept of Incentives as a part of compensation. Discuss the various types of Incentive plans.

Q.5. (a) Explain in detail the modern methods of performance appraisal.

OR

(b) Discuss the classification and types of various compensation.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

Performance Management Case Study: Fossil Group

At a time when the retail industry was undergoing rapid change and increased competition, Fossil Group knew it needed to find more efficient and effective ways to keep its managers focused on performance management and results.

In this blog, we'll share how Fossil Group evolved its performance management process and 3 simple steps.

The Evolution of Fossil's Performance Management Process

Fossil Group was using a complex, 100% paper process for performance reviews and check-ins for more than 15,000 global employees. They wanted to move toward a digital performance management strategy, but knew they needed to simplify the process first.

Fossil Group set up four traditional components that were stretched across three strategic touch points throughout the year. These touch points were supplemented with ongoing performance conversations that could be initiated by any employee, at any time.

As Fossil Group evolved its company-wide performance approach, they were happy to see immediate progress. **92% of employees were participating in goal-setting reviews, setting an average of six goals per employee.**

However, when they dug into the data, they found that 35% of individual goals created were misaligned or did not have an impact on the organization and its strategic priorities. They knew they needed to get better at goal alignment if they wanted to meet important business objectives.

Explore the three ways Fossil Group simplified performance management.

1. They scheduled ongoing performance conversations and continuous feedback.

2. Although the three formal performance touch points in place were working, Fossil Group knew teams needed to have goal conversations more frequently. They implemented informal “check-ins” that could be launched by any employee at any time.

To ensure adequate time was made for important performance conversations and other performance related activities, Fossil Group implemented "Performance Days" — days strictly dedicated to employee performance. On these days, no task-related meetings are scheduled, and all work is set aside for the day. Conversations between managers, employees, and teams are all centered on performance.

2. They created intuitive goal conversation templates.

Fossil Group recognized that simply having more performance conversations wasn't enough — the conversations needed to include healthy dialogue, debate, and collaboration from managers and employees. They created 1-on-1 templates to help guide managers and employees through an effective and productive goal conversation.

Check-in templates could be customized to the needs and work of individual teams and team members. The templates helped ensure conversations were focused on creating clear, aligned, and motivating goals.

3. They used recognition to keep performance conversations fresh.

Fossil Group wanted to bring performance conversations full circle by recognizing employee performance daily. They created recognition toolkits for managers including fun note cards, gift cards, and employee recognition tips. They also launched an online, peer-to-peer recognition program that generated an average of 140 recognition stories each week. By taking time to uncover the needs of its employees, and delegating time for managers to focus on performance, Fossil Group was able to listen and act on employee voices and evolve their performance strategy for success.

6(a) Analyze the case and discuss the various issues given in the case.

6(b) What are your suggestions in the given case study.